



**PARLIAMENT OF THE DEMOCRATIC
SOCIALIST REPUBLIC OF
SRI LANKA**

**GAMBLING REGULATORY AUTHORITY
ACT, No. 17 OF 2025**

[Certified on 03rd of September, 2025]

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*Gambling Regulatory Authority
Act, No. 17 of 2025*

[Certified on 03rd of September, 2025]

L.D.- O 46/2023

AN ACT TO PROVIDE FOR THE ESTABLISHMENT OF THE GAMBLING REGULATORY AUTHORITY; FOR THE REPEAL OF THE BETTING ON HORSE-RACING ORDINANCE (CHAPTER 44), GAMING ORDINANCE (CHAPTER 46) AND THE CASINO BUSINESS (REGULATION) ACT, NO. 17 OF 2010; AND TO PROVIDE FOR MATTERS CONNECTED THEREWITH OR INCIDENTAL THERETO.

BE it enacted by the Parliament of the Democratic Socialist Republic of Sri Lanka as follows: -

1. (1) This Act may be cited as the Gambling Regulatory Authority Act, No. 17 of 2025.

Short title and
date of operation

(2) The provisions of this Act other than this section, shall come into operation on such date as the Minister may appoint by Order published in the *Gazette*. (in this Act referred to as the “appointed date”)

(3) The provisions of this section shall come into operation on the date on which the Bill becomes an Act of Parliament.

2. The provisions of this Act shall apply to all types of gambling, except for lotteries conducted by the Development Lotteries Board established under the provisions of the Development Lotteries Board Act, No. 20 of 1997, the National Lotteries Board established under the Finance Act, No. 11 of 1963 and social gambling.

Application of this
Act

3. The objects of the Act shall be -

Objects of the Act

(a) to regulate and control gambling activities;

(b) to ensure the collection of revenue in relation to gambling;

- (c) to ensure transparency and good governance in the conduct of gambling;
- (d) to promote tourism, employment and economic development through the regulated operation of gambling activities;
- (e) to promote public confidence in the integrity of the gambling industry;
- (f) to ensure that gambling is conducted in a fair and transparent manner;
- (g) to ensure the integrity and fairness of gambling and ban irresponsible gambling products and practices;
- (h) to provide facilities for gambling to maintain a minimum standard and to attract tourists;
- (i) to foster responsible gambling in order to minimize the harm caused by gambling;
- (j) to prevent unlawful activity in gambling;
- (k) to minimize social harm associated with gambling;
- (l) to prevent gambling from being a source of crime or disorder;
- (m) to prevent gambling activities or related activities to gambling being misused to launder proceeds of crimes; and
- (n) to protect children from gambling.

PART I

ESTABLISHMENT OF THE GAMBLING REGULATORY AUTHORITY

4. (1) There shall be established an Authority which shall be known as the Gambling Regulatory Authority (in this Act referred to as the “Authority”).

Establishment
of the Gambling
Regulatory
Authority

(2) The Authority shall, by the name assigned to it by subsection (1), be a body corporate and shall have perpetual succession and a common seal and may sue and be sued in that name.

5. The powers of the Authority shall be -

Powers of the
Authority

- (a) to initiate, develop and implement strategies conducive to the development of gambling;
- (b) to issue, renew, suspend, or cancel any licence relating to gambling;
- (c) to register the premises of gambling and suspend or cancel such registration;
- (d) to establish and maintain a rating system to assess the performance and compliance of the licensee and publish such ratings on the official website of the Authority;
- (e) to issue directives to licensees and impose such terms and conditions on licence;
- (f) to make rules and issue guidelines to licensees pertaining to -
 - (i) the use of gambling place or premises and any ancillary buildings used for gambling and services provided for gambling; and

- (ii) the measures to be implemented to prevent the laundering of money in terms of the provisions of the Prevention of Money Laundering Act, No. 5 of 2006, financing of terrorism in terms of the provisions of the Convention on the Suppression of Terrorist Financing Act, No. 25 of 2005, compliance with the provisions of the Financial Transactions Reporting Act, No. 6 of 2006, the measures to be implemented under the provisions of the Inland Revenue Act, No. 24 of 2017 and the Foreign Exchange Act No. 12 of 2017 and to monitor and supervise the implementation thereof;
- (g) to require a licensee or any other person to furnish such information, documents and books as may be specified by the Board or to attend before the Board at such time as may be specified for the purpose of being examined in respect of any transaction or matter relating to any gambling activity under this Act;
- (h) to enter, search, inspect any gambling place or premises or any building in such premises;
- (i) to allow any officer authorized by the Authority to access online portals that are engaging in online gambling or enter such portal websites;
- (j) to levy fees or charges for any service rendered by the Authority;
- (k) to enter into and perform or carry out, whether directly or indirectly through any officer or

agent authorized in writing in that behalf by the Authority all such contracts or agreements as are necessary for carrying out the objects of the Authority;

- (l) to borrow, with or without security, amounts of money, on such terms and conditions as may be approved by the Minister in charge of the subject of Finance for the purpose of discharging its functions;
- (m) to purchase and hold any movable or immovable property or give on lease, mortgage, pledge, sell or otherwise dispose of any movable or immovable property purchased or held by the Authority for the purposes of the Authority;
- (n) to appoint, employ, remunerate, and exercise disciplinary control over, such officers, servants and agents as may be necessary for carrying out the objects of the Authority;
- (o) to train officers and employees of the Authority;
- (p) to appoint any such committee or committees as may be necessary to facilitate the discharge of the functions of the Authority; and
- (q) to do all such other acts and things which may be conducive or incidental to, the attainment of the objects of this Act.

6. The duties and functions of the Authority shall be –

- (a) to regulate, monitor, supervise and control the operations of gambling;

Duties and
functions of the
Authority

- (b) to supervise and control the conduct and operation of any activity regulated under this Act;
- (c) to coordinate with the police for the prevention of illegal gambling and other malpractices in any activity regulated under this Act and for the detection of fraud in gambling;
- (d) to ensure that the licensees effectively discharge their responsibilities in all aspects including safety, comfort and standards of hygiene, security, discipline and the prevention of fraud;
- (e) to conduct a risk assessment in order to evaluate the risk exposure to money laundering and other illicit financial activity and to take effective measures to mitigate, manage, and monitor those risks in gambling;
- (f) to carry out investigations on any unlawful activity in relation to gambling and take such appropriate action;
- (g) to open and maintain current, savings or deposit accounts in any State bank or State financial institution as may be determined by the Board;
- (h) to create and maintain an official website for the Authority, which includes all the details relating to gambling activities in Sri Lanka and the requirements to be complied with to operate and engage in such activity in Sri Lanka; and
- (i) to do all such other acts and things which may be conducive or incidental to, the attainment of the objects of this Act.

PART II

ADMINISTRATION AND MANAGEMENT OF THE AUTHORITY

7. (1) The administration, management, and control of the affairs of the Authority shall be vested in a Board of Management (in this Act referred to as the “Board”).

Constitution
of the
Board of
Management

(2) The Board shall, for the purpose of administering the affairs of the Authority, exercise, perform and discharge the powers, duties and functions conferred on, assigned to or imposed on, the Authority by this Act.

(3) The Board shall consist of-

(a) the *ex-officio* members namely—

- (i) the Secretary to the Ministry of the Minister assigned the subject of Finance (in this Act referred to as the “Secretary”) or his nominee;
- (ii) the Commissioner General of the Department of Inland Revenue or his nominee;
- (iii) the head of the Financial Intelligence Unit established under the provisions of the Financial Transactions Reporting Act, No. 6 of 2006 or his nominee; and
- (iv) the Inspector General of Police or his nominee; and

(b) three members appointed by the Minister from among persons who have qualifications and experience in any of the fields of economics, accountancy, law or information

and communication technology and who have knowledge in the regulation of gambling (hereinafter referred to as “appointed members”).

Chairperson
of the Board

8. (1) The Minister shall appoint one of the appointed members to be the Chairperson of the Board.

(2) The Chairperson may resign from his office by letter addressed to the Minister and such resignation shall be effective from the date on which it is accepted by the Minister.

(3) The Minister may for reasons assigned therefor remove the Chairperson from the office of the Chairperson.

(4) Subject to the provisions of subsections (2) and (3), the term of office of the Chairperson shall be the period of his membership of the Board.

(5) Where the Chairperson is temporarily unable to exercise, perform and discharge the powers, duties and functions of his office due to ill health, other infirmities, absence from Sri Lanka or any other cause, the Minister may appoint any other member to act as the Chairperson in addition to his normal duties as a member.

Disqualifications
for being appointed as
a member of
the Board

9. A person shall be disqualified from being appointed as a member of the Board if such person -

- (a) is or becomes a member of the Parliament, any Provincial Council or any local authority;
- (b) is not, or ceases to be a citizen of Sri Lanka;
- (c) is a person who, having been declared an insolvent or a bankrupt under any law in Sri Lanka or any other country, is an undischarged insolvent or bankrupt;

- (d) is convicted of an offence involving moral turpitude and punishable with imprisonment for a term not less than six months;
- (e) is serving or has served a sentence of imprisonment imposed by a court of Sri Lanka or any other country;
- (f) holds or enjoys any right or benefit directly or indirectly in -
 - (i) gambling which operates in Sri Lanka or in any other country;
 - (ii) a business of any gambling licence holder;
or
 - (iii) any contract made by or on behalf of the Authority;
- (g) is under any contract made by, or on behalf of the Authority;
- (h) has any financial or other interest as is likely to affect prejudicially the discharge by him of his functions as a member of the Board; or
- (i) is over seventy years of age.

10. Every appointed member of the Board shall, unless he vacates office earlier by death, resignation or removal, hold office for a period of three years from the date of his appointment and unless removed from office, shall be eligible for re-appointment for not more than two further terms, whether consecutive or otherwise.

Term of
office of the
appointed
members of
the Board

Removal,
resignation etc. of
appointed
members

11. (1) Any appointed member of the Board may, at any time, resign his office by letter in that behalf addressed to the Minister, and such resignation shall take effect from the date on which the resignation is accepted in writing by the Minister.

(2) The Minister may, for reasons assigned therefor, remove any appointed member from office. An appointed member who has been removed from office shall not be eligible for re-appointment as a member of the Board or to serve the Board in any other capacity.

(3) In the event of the vacation of office by death, resignation or removal of any appointed member, the Minister shall, subject to the provisions of paragraph (b) of subsection (3) of section 7, appoint another person to fill such vacancy and such person shall hold office for the unexpired period of the term of office of the member whom he succeeds.

(4) Where any appointed member of the Board is temporarily unable to perform the duties of his office on account of ill health or any other cause or if he is absent from Sri Lanka for a period of not less than three months, the Minister shall subject to the provisions of paragraph (b) of subsection (3) of section 7 appoint any other person to act in place of such member during his absence.

(5) Where any appointed member of the Board fails to attend three consecutive meetings of the Board without notifying his absence in advance to the Chairperson, such member shall be deemed to have vacated his office and the Minister shall, subject to the provisions of paragraph (b) of subsection (3) of section 7, appoint another person to fill such vacancy.

12. (1) The quorum for any meeting of the Board shall be five members.

Quorum and
the meetings
of the Board

(2) The Director-General shall summon all meetings of the Board.

(3) A meeting of the Board may be held either-

(a) by the number of members who constitute a quorum being assembled at the place, date and time appointed for the meeting; or

(b) by means of audio-visual communication by which all members participating and constituting a quorum can simultaneously see and hear each participating member for the duration of the meeting.

(4) All questions for decision at any meeting of the Board shall be decided by the vote of the majority of members present and voting at such meeting. In the case of an equality of votes, the Chairperson shall, in addition to his vote, have a casting vote.

(5) The Chairperson shall preside at every meeting of the Board. In the absence of the Chairperson from any meeting of the Board, any member elected by the members present shall preside at such meeting of the Board.

(6) The meetings of the Board shall be conducted in conformity with the rules made under section 77 and procedures established, by the Authority from time to time.

13. The Board may act notwithstanding any vacancy among its members, and any act or proceeding of the Board shall not be, or deemed to be, invalid by reason only of the existence of any vacancy among its members or any defect in the appointment of a member thereof.

Acts or
proceedings
of the Board
deemed not to be
invalid by reason
of any vacancy

Seal of the
Authority

14. (1) The seal of the Authority—

- (a) shall be in the custody of such person as the Board may decide from time to time;
- (b) may be altered in such manner as may be determined by the Board; and
- (c) shall not be affixed to any instrument or document except with the sanction of the Board and in the presence of two members of the Board who shall sign the instrument or document in token of their presence.

(2) The Board shall maintain a register of the instruments and documents to which the seal of the Authority has been affixed.

PART III

**LICENSING OF GAMBLING AND CERTIFICATE OF REGISTRATION OF
PREMISES**

Licensing of
gambling

15. (1) A person shall not carry on gambling except under the authority of a licence issued by the Director-General appointed under the provisions of section 39 of this Act for that purpose.

(2) The Director-General may delegate his powers, duties and functions in writing to any officer under subsection (1) to issue licence.

Application for
licence

16. (1) A person who applies for a licence to carry on gambling under the provisions of this Act shall be a company incorporated or registered under the Companies Act, No. 7 of 2007 with a minimum capital as may be specified by the Minister by Order published in the *Gazette*.

(2) Every application for the issue of a licence shall be made to the Director-General in a form as may be prescribed by regulations.

(3) Every application submitted under subsection (2) shall contain complete and accurate information of all required particulars and be accompanied by the prescribed fee.

(4) The Director-General shall, having considered the information and particulars contained in an application submitted under subsection (2) and upon satisfying that the applicant has fulfilled the requirements as may be prescribed to be issued a licence, issue such licence to the applicant.

(5) (a) The Director-General shall prior to issuing a licence, take into consideration the information and particulars of directors, senior managers, shareholders, key management personnel and the beneficial owners of the company submitted under subsection (2) to assess the fitness and propriety of the company in a manner as may be prescribed.

(b) Upon consideration of the information and particulars under paragraph (a), if the Director-General is of the view that any director, senior manager, shareholder, key management personnel or the beneficial owners of the company is unfit to hold such position in such company he shall-

- (i) reject such applications with reasons assigned therefor; or
- (ii) issue the licence subject to the condition that any person whom the Director-General assesses as unfit to hold such position under this section shall not hold such position in the company as long as the licence is valid.

(6) An application found to contain false, misleading, or incorrect information or particulars shall be rejected.

Application for
certificate of
registration of
premises

17. (1) A company to which the licence is issued to carry on gambling under the provisions of section 16 shall register the premises where the operation of gambling takes place with the Authority for that purpose.

(2) Every application for the registration of premises under subsection (1) shall be made to the Director-General in a form as may be prescribed by regulations.

(3) Every application submitted under subsection (2) shall contain complete and accurate information of all required particulars and be accompanied by the prescribed fee.

(4) The Director-General shall, having considered the information and particulars contained in an application submitted under subsection (2), and where the applicant has fulfilled the requirements pertaining to suitability as may be prescribed to be registered, issue a certificate of registration of premises to the applicant.

(5) An application found to contain false, misleading, or incorrect information or particulars shall be rejected.

Digital gambling

18. (1) A licensee shall not carry on digital gambling unless such licensee holds a digital gambling licence.

(2) The provisions of section 16 shall *mutatis mutandis* apply to the digital gambling licence.

(3) A licensee may carry on digital gambling in such manner as may be specified by Order published in the *Gazette*.

Authorised
gambling

19. (1) The Minister may, from time to time specify by Order published in the *Gazette* the types of gambling including digital gambling to be authorized to carry on under the provisions of this Act.

(2) A person shall not be allowed to carry on any gambling other than a type of gambling authorized under the provisions of this Act.

20. (1) Every licensee shall submit to the Authority the proposed rules of gambling including a list of gambling available to be played and a maximum number of stakes permitted for each gambling accompanied by any supporting documents as may be prescribed by regulations.

Rules of gambling,
list of gambling
and number of
stakes

(2) Upon the receipt of submission under subsection (1), the Authority shall review the proposed rules, list of gambling and a maximum number of stakes to ensure compliance with the provisions of this Act and regulation made thereunder.

(3) The Authority may require further information or clarification from the licensee within a period specified if necessary.

(4) The Authority shall, upon the receipt of complete submission, either approve the rules, list of gambling and a maximum number of stakes in writing or communicate written reasons assigned for rejection.

(5) If rejected, the licensee may resubmit the revised rules addressing the deficiencies identified by the Authority.

(6) The form and manner of submission, the fee, if any, for processing such submission, the timeline for review and approval, criteria for approval of gambling rules, list of gambling and a maximum number of stakes shall be as may be prescribed by regulations.

21. Every licensee shall, at all times when the premises of gambling is open for the playing gambling, display in a conspicuous place in the premises –

Display of
licence, certificate
of registration of
premises, rules
and etc.

(a) his licence and the conditions of the licence;

- (b) the certificate of registration of the premises;
- (c) the gambling authorised to be played and the maximum stakes approved by the Authority; and
- (d) the rules of gambling approved by the Authority.

Authorised transactions relating to gambling

22. Any transaction relating to gambling shall, subject to the provisions of the Financial Transaction Reporting Act, No. 6 of 2006 and the Foreign Exchange Act, No. 12 of 2017 or any other requirement as may be prescribed, be made in currency or by a debit card or credit card at a main cash desk set up by the gambling operator.

Form and duration of a licence or certificate of registration of premises

23. A licence and certificate of registration of premises issued under sections 16 and 17, shall-

- (a) be in such form as the Authority may determine;
- (b) be subject to such terms and conditions as specified in the licence or certificate of registration of premises;
- (c) become operative from such date as shall be specified in the licence or certificate of registration of premises; and
- (d) unless earlier revoked, be in force for the period as specified in the licence or certificate of registration of premises.

Renewal of a Licence and certificate of registration of premises

24. (1) A licence and certificate of registration of premises issued under sections 16 and 17 may be renewed upon an application being submitted to the Director-General for that purpose in a form as may be prescribed by regulations accompanied by the prescribed renewal fee, not less than thirty days prior to the date of expiration of the licence or certificate of registration of premises previously issued.

(2) The Director-General shall renew a licence or certificate of registration of premises on receipt of an application under subsection (1), where-

- (a) the licensee has not violated or done anything in contravention of the terms and conditions of the licence or certificate of registration of premises issued;
- (b) the licensee has not contravened any provisions of this Act or any regulations made thereunder;
- (c) the licensee has not contravened any provisions of the Betting and Gaming Levy Act, No. 40 of 1988, the Prevention of Money Laundering Act, No. 5 of 2006, the Convention on the Suppression of Terrorist Financing Act, No. 25 of 2005, the Financial Transactions Reporting Act, No. 6 of 2006, the Inland Revenue Act, No. 24 of 2017 or the Foreign Exchange Act, No. 12 of 2017 or regulations, rules, orders, or directions made or issued under those Acts;
- (d) the continuation of the gambling concerned will not have any adverse impact on the public;
- (e) there is no public complaint; *or*
- (f) there is no pending criminal investigation against the owner or any director, manager, shareholder, or key management personnel of the licensee.

(3) The provisions of section 23 shall apply with respect of form and duration of a licence or certificate of registration of premises issued on renewal under this section.

25. Where an application for the issue of a licence or certificate of registration of premises or renewal thereof under section 16, 17 or 24, as the case may be, has been

Reasons to be
Communicated

refused, the reasons for such refusal shall be recorded by the Director-General. It shall be the duty of the Director-General to inform the person making such application, by written communication sent under registered post to the address appearing in the application, of the reasons assigned for such refusal.

Amendments
to the licence
or certificate of
registration of
premises

26. The provisions of sections 16, 17, and 20 shall *mutatis mutandis* apply in relation to an application to amend such licence, certificate of registration of premises, rules, list of gambling and a maximum number of stakes.

Restriction on
transfer of licence

27. A licence, and any rights, benefits, or privileges under the licence, shall not be transferable or assignable to any other person unless-

- (a) the licence contains a condition authorizing the transfer or assignment; and
- (b) the Director-General consents in writing to the transfer or assignment and the Board approves such transfer or assignment.

Notification
of change of
corporate control

28.(1) A licensee shall notify the Authority in writing of any change in corporate control within one month of such change occurring.

(2) For the purpose of this section, “corporate control” includes-

- (a) a change in ownership of fifty *per centum* or more of the shares or voting rights in the licensee;
- (b) a change in the composition of the board of directors; or
- (c) any other change that may affect the management or operation of the licensee as may be prescribed by regulations.

29. (1) A licence or certificate of registration of premises issued under section 16 or 17 may be suspended by the Authority, where-

Suspension
of a licence or
certificate of
registration of
premises

- (a) it becomes necessary in order to implement any protective measures adopted in consequence of a determination made by the Board;
- (b) the licensee has been charged for the commission of an offence under this Act or any regulations made thereunder; or
- (c) the licensee has contravened any provisions of this Act, the Betting and Gaming Levy Act, No. 40 of 1988, the Prevention of Money Laundering Act, No. 5 of 2006, the Convention on the Suppression of Terrorist Financing Act, No. 25 of 2005, the Financial Transactions Reporting Act, No. 6 of 2006 or the Inland Revenue Act, No. 24 of 2017 or the Foreign Exchange Act, No. 12 of 2017 or regulations, rules, or orders or directions made or issued under those Acts and the severity of such contravention does not warrant a cancellation of the licence.

(2) The Director-General shall, prior to a suspension of a licence or certificate of registration of premises under paragraph (c) of subsection (1) in relation to a conviction under the provisions of-

- (a) the Betting and Gaming Levy Act, No. 40 of 1988, the Prevention of Money Laundering Act, No. 5 of 2006, the Convention on the Suppression of Terrorist Financing Act, No. 25 of 2005, the Financial Transactions Reporting Act, No. 6 of 2006 or the Inland Revenue Act, No. 24 of 2017 or regulations, rules, or orders or directions made or issued under those Acts, consult the Financial Intelligence Unit

established under the provisions of the Financial Transactions Reporting Act, No. 6 of 2006; and

- (b) the Foreign Exchange Act, No. 12 of 2017 or regulations, rules, orders or directions made or issued thereunder, consult the Central Bank of Sri Lanka established under the provisions of the Central Bank of Sri Lanka Act, No. 16 of 2023.

(3) Where a licence or certificate of registration of premises is suspended under paragraph (a) of subsection (1), the licensee shall be entitled to a *pro rata* refund of the fee paid by him for the issue of the licence or certificate of registration of premises.

Cancellation
of a licence or
registration of
certificate of
premises

30. (1) A licence or certificate of registration of premises issued under section 16 or 17 shall be cancelled by the Director-General, where-

- (a) it is found that the licence had been obtained by providing false, misleading, or inaccurate information;
- (b) the licensee has been convicted of an offence under this Act, the Betting and Gaming Levy Act, No. 40 of 1988, the Prevention of Money Laundering Act, No. 5 of 2006, the Convention on the Suppression of Terrorist Financing Act, No. 25 of 2005 the Financial Transactions Reporting Act, No. 6 of 2006, the Inland Revenue Act, No. 24 of 2017 or the Foreign Exchange Act, No. 12 of 2017 or regulations, rules, or orders or directions made or issued under those Acts;
- (c) the licensee has acted in violation of any terms or conditions subject to which such licence or certificate of registration of premises was issued; or

- (d) the continuation of the gambling operation would have an adverse impact on the public.

(2) The Director-General shall, prior to a cancellation of a licence or certificate of registration of premises under paragraph (b) of subsection (1) in relation to a conviction under the provisions of-

- (a) the Betting and Gaming Levy Act, No. 40 of 1988, the Prevention of Money Laundering Act, No. 5 of 2006, the Convention on the Suppression of Terrorist Financing Act, No. 25 of 2005, the Financial Transactions Reporting Act, No. 6 of 2006 or the Inland Revenue Act, No. 24 of 2017 or regulations, rules, orders or directions made or issued under those Acts, consult the Financial Intelligence Unit established under the provisions of the Financial Transactions Reporting Act, No. 6 of 2006; and
- (b) the Foreign Exchange Act, No. 12 of 2017 or regulations, rules, orders or directions made or issued thereunder, consult the Central Bank of Sri Lanka established under the provisions of the Central Bank of Sri Lanka Act, No. 16 of 2023.

31. (1) The Authority shall, before suspension or cancellation of a licence or certificate of registration of premises under section 29 or 30 as the case may be, issue a notice in writing to the licensee, specifying the grounds for the action.

Notice to show
cause

(2) A notice under subsection (1) shall require the licensee to show cause within a period of one month from the date of receipt of the notice, as to why the licence or certificate of registration of premises should not be suspended or cancelled.

(3) The licensee shall be afforded a reasonable opportunity to be heard, either in person or through an authorised representative before a final decision is made.

(4) Upon the consideration of any representations made by the licensee or his representative, the Authority may, for the reasons to be recorded in writing, suspend or cancel the licence or certificate of registration of premises.

Appeals

32. (1) Any person aggrieved by a decision refusing the issue or renewal of a licence or certificate of registration of premises or, the suspension or cancellation of a licence or certificate of registration of premises issued, may, within sixty days of the date of receipt of the written communication informing such person, of such refusal, suspension or cancellation, as the case may be, appeal against such decision to the Secretary.

(2) The decision on any appeal submitted under subsection (1) shall be made within sixty days of the receipt of such appeal and the person making such appeal shall, upon being afforded an opportunity to be heard, be informed of the decision.

(3) Where the Secretary considers it appropriate, the Secretary may hold such inquiry as deemed necessary in the circumstances of the case, prior to arriving at any decision in writing on any appeal made under subsection (1) and the Secretary shall deliver a decision within a period of two months.

(4) Any person who is aggrieved by a decision of the Secretary may prefer an appeal to the Court of Appeal, within thirty days from the date of communication of such decision, on question on law.

33. (1) A person shall not develop, distribute, or operate gambling software except under the authority of a licence issued by the Director-General appointed under the provisions of section 39 of this Act for that purpose.

(2) Every application for the issue of a gambling software licence shall include –

- (a) detailed specifications of the gambling software, including its features, functionalities, and intended use;
- (b) compliance certifications from accredited third-party auditors confirming the software's adherence to applicable standards; and
- (c) information on data protection measures and safeguards against unauthorized access or manipulation.

(3) A gambling software shall not –

- (a) include mechanisms designed to mislead users regarding odds or outcomes;
- (b) enable participation by individuals below the legal gambling age;
- (c) facilitate unlicensed or unauthorized gambling activities; and
- (d) operate without transparent algorithms audited and certified by the prescribed authority.

(4) The developer and the distributor shall –

- (a) not distribute, sell, or make available the gambling software through unregulated platforms; and

- (b) ensure that the software is only accessible to entities holding a valid gambling licence;
- (c) ensure that every gambling software includes-
 - (i) user-accessible tools for self-imposed limits on spending time, or losses;
 - (ii) prominent warnings about the risks of gambling addiction and links to support resources; and
 - (iii) mechanisms to identify and restrict access by individuals registered in self-exclusion programs;
- (d) comply with the provisions of the Personal Data Protection Act, No. 9 of 2022 to safeguard users' personal and financial information; and
- (e) implement robust measures to prevent unauthorized data collection, sharing, or breaches.

(5) The provisions of sections 16, 21 and 23 to 32 relating to application for licence, display of licence, form and duration of licence, renewal of licence, reasons to be communicated, amendments to a licence, restrictions on transfer of licence, notification of change of corporate control, suspension of licence, cancellation of licence, notice to show cause, and appeals shall *mutatis mutandis* apply for a gambling software licence.

Gambling on
ships

34. (1) Where a ship is registered in Sri Lanka and the company which owns the ship or charterer who controls the ship's operations and activities under the charter party has a valid licence issued under the provisions of this Act, such ship may subject to the terms and conditions specified in the licence, be permitted for gambling within the territorial waters of Sri Lanka and high seas.

(2) Where a ship is not registered in Sri Lanka, and the company which owns the ship or charterer who controls the ship's operations and activities under the charter party has a valid licence issued under the provisions of this Act, such ship may, irrespective of the ownership of the ship, be permitted for gambling subject to the terms and conditions specified in the licence when the ship is within the territorial waters of Sri Lanka.

35. (1) A person shall not operate as a junket operator except under the authority of a licence issued under the provisions of this Act.

Junket licence and
operators

(2) The provisions of sections 16, 21 and 23 to 32 relating to application for licence, display of licence, form and duration of licence, renewal of licence, reasons to be communicated, amendments to a licence, restrictions on transfer of licence, notification of change of corporate control, suspension of licence, cancellation of licence, notice to show cause, and appeals shall *mutatis mutandis* apply for junket operator licence.

(3) Every applicant under subsection (2) shall satisfy the Director-General of his financial stability, integrity and competence to operate a junket business.

(4) Every junket operator shall maintain accurate and complete records of all transactions and activities related to his operations, including details of patrons and financial dealings.

(5) Every licensee engaged with junket operators shall ensure that every patron brought in by the junket operator meets the legal requirements for entry and participation in gambling activities.

(6) A licensee shall report to the Director General any suspicious activity or any breach of regulation by the junket operator.

(7) The Authority shall have the power to audit, inspect, and review the operations of licensed junket operators.

PART IV

FUND OF THE AUTHORITY

Fund of the
Authority

36. (1) The Authority shall have its own Fund.

(2) There shall be paid into the Fund of the Authority —

- (a) all such sums of money as may be voted from time to time by Parliament for the use of the Authority;
- (b) all such sums of money that may be received by the Authority in the exercise, performance and discharge of its powers, duties and functions under this Act; and
- (c) all sums of money accruing to the credit of the Authority.

(3) There shall be paid out of the fund all such sums as are required to defray any expenditure incurred by the Board in the exercise, performance and discharge of its powers, duties, and functions under this Act or under any other law and all such sums as are required to be paid out of the fund.

Financial year
and audit of
accounts.

37. (1) The Financial year of the Authority shall be the calendar year.

(2) The Board shall cause proper books of accounts to be kept of the income and expenditure, assets and liabilities and all other transactions of the Authority.

(3) The provisions of Article 154 of the Constitution relating to the audit of the accounts of public corporations shall apply to and in respect of the audit of the accounts of the Authority.

38. The provisions of Part II of the Finance Act, No. 38 of 1971, shall, *mutatis mutandis*, apply to the financial control and accounts of the Authority except audit of accounts.

Application of
Part II of the
Finance Act,
No. 38 of 1971.

PART V

CHIEF EXECUTIVE OFFICER AND STAFF OF THE AUTHORITY

39. (1) There shall be a Director-General of the Authority appointed by the Minister upon the approval of the Board who shall be the Chief Executive Officer of the Authority (in this Act referred to as the “Director General”).

Appointment
of a Director-
General of
the Authority

(2) The Director-General shall, subject to the general or special direction and control of the Board, be charged with the direction of the affairs and transactions of the Authority, the exercise, performance and discharge of its powers, functions and duties, and the administration and control of the officers and employees of the Authority.

(3) The Director-General may, with the approval of the Authority, whenever he considers it necessary to do so, delegate to any officer or employee any power, duty or function conferred or imposed on, or assigned to him by this Act and such officer or employee shall exercise, perform, and discharge such power, function or duty subject to the general or special directions of the Director-General.

(4) The Director-General shall be responsible and answerable to the Board in the exercise, performance and discharge of his powers, duties and functions assigned under subsection (2).

(5) Whenever the Director-General is by reason of illness or absence from Sri Lanka or for any other cause, unable to perform the duties of his office, the Minister may, with the approval of the Cabinet of Ministers, appoint another person to act in his place, during such absence.

Staff of the
Authority
and
remuneration

40. (1) The Board shall employ such staff as is required for the efficient exercise and discharge of the powers and functions assigned to the Authority, including technical and skilled personnel, administrative and managerial personnel and such other persons as it may require.

(2) The Director-General and staff of the Authority shall be remunerated in such manner and at such rates and shall be subject to such conditions of service, as may be prescribed by the Minister.

Appointment
of public
officers to
the staff of
the Authority

41. (1) At the request of the Board, any officer in the public service may, with the consent of that officer and the Public Service Commission, be temporarily appointed to the staff of the Authority for such period as may be determined by the Board or with like consent be permanently appointed to the staff of the Authority.

(2) Where any officer is temporarily appointed to the staff of the Authority, the provisions of subsection (2) of section 14 of the National Transport Commission Act, No. 37 of 1991, shall, *mutatis mutandis*, apply to, and in relation to him.

(3) Where any officer is permanently appointed to the staff of the Authority, the provisions of subsection (3) of section 14 of the National Transport Commission Act, No. 37 of 1991, shall, *mutatis mutandis* apply to, and in relation to him.

(4) Where the Board employs any person, who has entered into a contract with the Government by which he has agreed to serve the Government for a specified period, any period of service with the Authority by that person shall be regarded as service to the Government, for the purpose of discharging the obligations of such contract.

PART VI

OFFENCES

42. A person who carries on any gambling without a valid licence issued under the provisions of this Act commits an offence under this Act and shall, on conviction by a Magistrate, be liable to a fine not exceeding ten million rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Conduct gambling
without a licence

43. A licensee who is found to have obtained the licence by providing false, misleading, or inaccurate information or omitting any material information commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Providing false,
misleading,
or inaccurate
information

44. A person who advertises any gambling carried on in contravention of the provisions of this Act commits an offence under this Act and shall, on conviction by a Magistrate, be liable to a fine not exceeding one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Advertising
unlawful
gambling

45. A person who carries on any gambling in or from any premises that is not registered with the Authority commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Gambling
operations outside
the approved
gambling
premises

Using or allowing
the use of
premises by an
owner or occupier
for unlawful
gambling

46. An owner or occupier of a premises, who uses, or allows the premises to be used for any gambling carried on in contravention of the provisions of this Act commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Offence of
organizing
gambling

47. A person who organises, manages, or assists in organizing or managing any gambling carried on in contravention of the provisions of this Act commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Offence of
financing
unlawful
gambling

48. A person who provides financing for any step taken in the process of organizing or conducting any gambling carried on in contravention of the provisions of this Act commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Offence of being
in unlawful
gambling
premises

49. A person who is knowingly or having reason to believe enters, remains, and is found in any gambling premises carried on in contravention of the provisions of this Act commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Prohibited or
unapproved
gambling machine
use

50. A person who carries on gambling involving any prohibited gambling machine or uses or operates, or allows the use or operation of, in or from Sri Lanka any prohibited gambling machine, for the purposes of gambling activities by another person commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding

one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

51. A person who engages in gambling other than social gambling with a person who is under the age of eighteen years or engages in gambling other than social gambling with another person on behalf of a person who is under the age of eighteen years commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Gambling
with underage
individuals

52. A licensee who allows any person who is under the age of eighteen to engage in gambling in or from Sri Lanka commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Prohibited age

53. A person who employs a person who is below twenty-one years of age to carry on a gambling operation in or from Sri Lanka in accordance with arrangements made by that person commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Unlawful
employment of
person below
twenty-one
years of age in
gambling

54. A person who publishes, broadcast, or otherwise disseminates any advertisement for gambling activities that –

Prohibition
of Misleading
Advertisement

- (a) contains false, deceptive, or misleading information regarding the nature, risks, or chances of winning associated with gambling; or

(b) implies that participation in gambling can resolve financial difficulties or improve social status,

commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding one hundred thousand rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

General offence

55. Every person who acts in contravention of any provision of this Act other than the provisions referred to in this Part or any requirements imposed under any such provision, or any regulations, rules, directions or guidelines made or issued under this Act commits an offence and shall, on conviction by a Magistrate, be liable to a fine not exceeding ten million rupees or to imprisonment of either description for a period not exceeding two years or to both such fine and imprisonment.

Additional penalty

56. Where any person commits an offence under this Act, upon the consideration of the gambling activity carried out, duration, nature and gravity of the activity and the harm caused to the public by such activity, such offender may be punished with a fine not exceeding one million Rupees in addition to any fine or term of imprisonment to which he may be liable under any other section of this Act.

Provisions of the
Code of Criminal
Procedure Act to
apply

57. (1) Save and expressly provided in this Act, the provisions of the Code of Criminal Procedure Act, No. 15 of 1979, *shall, mutatis mutandis*, apply to the investigations, institution of proceedings, trial of offences under this Act and to appeals from the judgments, sentences and orders pronounced at any such trial under this Act.

(2) Where the Authority, on consideration of material collected in the course of investigations conducted under this Act, is satisfied that any person has committed an offence

under the provisions of this Act, the Authority may take steps to institute criminal proceedings in terms of section 136 of the Code of Criminal Procedure Act, No.15 of 1979.

58. (1) The jurisdiction to hear, try and determine all offences under this Act shall be vested with the Magistrate's Court.

Jurisdiction

(2) Notwithstanding anything contained in subsection (1), where there are aggravating circumstances or circumstances that give rise to public disquiet in connection with the commission of an offence, it shall be lawful for the Attorney-General to forward the indictment directly to the High Court.

PART VII

GENERAL PROVISIONS

59. A licensee shall keep a record of all the details of customers including each transaction in currency involving cash-in and cash-out on a gambling day, any suspicious transactions, large cash transactions, electronic funds transfer and any other details as may be prescribed.

Record keeping
requirement

60. (1) The Board or any officer of the Authority authorised by the Director-General in that behalf may, examine the books, registers, records, or documents and inquire into the business and affairs of a licensee or search a gambling place or premises accompanied by a peace officer for the purpose of ensuring compliance with the Act or any regulations, rules, directions, or guidelines made or issued under the Act, and for that purpose may-

Power to
examine books
and
records and to
search gambling
premises

- (a) at any reasonable time, enter any premises, in which the Board or authorised officer believes, on reasonable grounds, that there are books, registers, records, or documents relevant to ensuring compliance with the provisions of this Act;

- (b) use or cause to be used any computer system or data processing system found in the premises, to examine any data contained in or available to the system;
- (c) reproduce any record, or cause it to be reproduced from the data, in the form of a printout or other intelligible output and remove the printout or the output for examination or copying;
- (d) use or cause to be used any copying equipment in the premises to make copies of any book, registers, record, or document; or
- (e) make a note or an inventory of any other thing found in the course of any search which will be useful for, or relevant to take action under the provisions of this Act, and the provisions of the Code of Criminal Procedure Act, No.15 of 1979, relating to searches shall apply, so far as may be, to searches under this section.

(2) In this subsection “peace officer” shall have the same meaning as in the Code of Criminal Procedure Act, No. 15 of 1979.

(3) The Director General shall record the circumstances which necessitate the exercise of such powers by the officer authorised under subsection (1).

(4) Where any officer authorized by the Director General under subsection (1) takes into his possession any book, registers, record, or any other document from the gambling premises the officer who takes into possession any such item shall issue to the person who is responsible for the gambling premises a memorandum specifying the book, register, record, or other document he has taken into his possession.

(5) Any book of account, register, record, or other document taken into possession by the officer authorized under subsection (1) may be retained in his possession as long as may be necessary for scrutiny of such book, register, record, or other document or for the institution of legal proceedings against the person to whom such book, register, record or other document belongs.

(6) The owner or person responsible for the premises referred to in subsection (1) and every person found thereon shall give the Board or any authorized person all reasonable assistance to enable them to carry out their responsibilities and shall furnish them with any information that they may reasonably require with respect to the administration of this Act or any regulations, rules, directions, or guidelines made or issued thereunder.

61. (1) The Board shall provide information from or derived from examinations carried out under section 60 to appropriate regulatory authorities, law enforcement authorities, or supervisory authorities if the Board has reasonable grounds to suspect that the information is suspicious or relevant to an investigation for non-compliance with this Act, the Betting and Gaming Levy Act, No. 40 of 1988, the Prevention of Money Laundering Act, No. 5 of 2006, the Convention on the Suppression of Terrorist Financing Act, No. 25 of 2005, the Financial Transactions Reporting Act, No. 6 of 2006 or the Inland Revenue Act No. 24 of 2017 or the Foreign Exchange Act No. 12 of 2017 or regulations, rules, or orders or directions made or issued under those Acts or amounts to an offence constituting an unlawful activity.

Sharing
information

(2) For the purpose of sharing any information under subsection (1), the Board may enter into any agreement with the appropriate regulatory authorities, law enforcement authorities, or supervisory authorities.

(3) The Board shall compile statistics, and may share information with the Ministry of Finance, Department of Inland Revenue and the Financial Intelligence Unit established under the provisions of the Financial Transactions Reporting Act, No. 6 of 2006,

(4) The provisions of subsection (1) of section 5 of the Right to Information Act, No. 12 of 2016 shall apply to any information provided or shared as provided for in this section.

Agreements and
arrangements by
the Board for
purposes of
exchange of
information

62. (1) The Board may, with the approval of the Minister, enter into an agreement or arrangement, in writing, with-

- (a) an institution or agency of a foreign State or an international organization established by the governments of a foreign State that has powers, functions, and duties similar to those of the Authority; and
- (b) a foreign law enforcement agency or a foreign supervisory authority,

regarding the exchange of information between the Authority and the relevant institutions specified in this subsection.

(2) The information exchanged under subsection (1) shall be information that the Board has reasonable grounds to suspect that would be relevant to the investigation or prosecution of an offence constituting an unlawful activity or an offence that is substantially similar to such an offence under this Act.

(3) An agreement or arrangement entered into under subsection (1) shall include the following: -

- (a) restrictions on the use of information for purposes relevant to investigating or prosecuting any act constituting an unlawful activity or an offence that is substantially similar to such offence; and
- (b) the stipulation that the information be treated in a confidential manner and not be further disclosed without the express consent of the Board.

63. (1) Where the Director-General has sufficient evidence to believe that any person has acted in contravention of the provisions of this Act or any regulation, rule, order or direction made or issued thereunder, he may-

Imposition of
a penalty

- (a) on the recommendation of the panel of experts appointed under section 66 of this Act; and
- (b) in the case of a first offender, having regard to the circumstances in which the offence was committed,

if it is appropriate to impose a penalty, cause a notice to be served in a form prescribed by regulation on such person, requiring him to appear within a period of one month of the date of the receipt of such notice and show cause why a penalty should not be imposed on him.

(2) Where the person on whom the notice is served admits that he acted in contravention of the provisions of this Act or any regulation, rule, Order or direction made or issued thereunder within a period of one month of the date of receipt of such notice, the Director-General shall impose on that person a monetary penalty not exceeding one-third of the maximum fine that could be imposed under this Act to which such person would be liable if convicted by a court.

(3) (a) Where the person on whom the notice is served, appears within a period of one month of the date of receipt of such notice and states that he has a cause to show against the

imposition of the penalty, the Director-General may proceed forthwith to hear and decide the matter.

(b) Where the Director-General is not satisfied with the reasons given, he may after assigning reasons therefor, impose the penalty specified in subsection (2) of this section.

(4) Where the Director-General imposes a monetary penalty on any person under this section for any contravention of the provisions of this Act or any regulation, rule, Order, or direction made or issued thereunder, he shall cause the decision to be served on such person, in a form prescribed by regulation.

(5) Any person aggrieved by the decision of the Director-General, may appeal to the Secretary of the Ministry of the Minister to whom implementation of the provisions of this Act is assigned, within a period of thirty days from the date of receipt of such decision made under subsection (3).

(6) The Secretary shall make a decision on any such appeal taking into consideration the decision of the Director-General and the circumstances in which the offence was committed, and may either-

(a) allow, alter or vary the decision of the Director-General and direct the Director-General to act accordingly; or

(b) disallow the appeal for reasons stated therein.

(7) The Director-General shall comply with any direction issued to him by the Secretary within a period of fourteen days from such direction and shall communicate the direction of the Secretary to the person aggrieved by his decision.

(8) Every notice under this section shall be sent under registered post, and if sent under registered post or exhibited

in the last known place of abode, it shall be deemed to have been served on that person.

(9) Notwithstanding anything contained in this Act, no suit or prosecution shall lie in any court regarding the same offence, where the alleged offender has admitted the commission of such offence and paid such penalty.

(10) Any person aggrieved by the decision of the Secretary may prefer an appeal to the Court of Appeal within thirty days from the date of communication of such decision, on a question of law.

64. (1) Upon the lapse of one month of the decision made under subsection (4), (6) or (10) of section 63, where the person on whom such decision is made makes default in the payment of a penalty, the Director-General shall issue a certificate in a form determined by the Director-General together with a certified copy of the notice and decision served on such person to the Magistrate having jurisdiction in the division in which the violation occurred.

Recovery of
Penalty

(2) The Magistrate shall, thereupon, summon such person who makes default in the payment of penalty under subsection (1) before him to show cause why further proceedings for the recovery of the sum due under this Act should not be taken against him, and in default of sufficient cause being shown, such sum shall be deemed to be a fine imposed by a sentence of the Magistrate on such person for an offence punishable with imprisonment and the provisions of section 291 (except paragraphs (a), (d) and (i) of subsection (1) thereof) of the Code of Criminal Procedure Act, No.15 of 1979 relating to the default of payment of a fine imposed for such an offence shall thereupon apply and the Magistrate may make any direction which, by the provisions of that subsection, he could have made at the time of imposing such sentence.

Apply for an
interim injunction

65. Where the Authority has sufficient evidence to believe that a person is in continuous violation of the provisions of this Act, the Authority may apply to the Magistrate's Court to obtain an interim injunction to restrain such person from such act.

Panel of
Experts

66. (1) There shall be appointed by the Director-General in consultation with the Board and the Secretary, a panel of experts consisting of three persons who have knowledge and experience in the field of gambling, law, or accountancy.

(2) It shall be the function of such panel of experts to make recommendations to the Director-General on circumstances under which he shall impose a monetary penalty on any person.

(3) The experts shall be remunerated in such manner and at such rates and shall be subject to such condition of service as may be prescribed by the Minister.

Acquisition of
immovable
property under
the Land
Acquisition Act

67. (1) Where any immovable property is required to be acquired for any specific purpose of the Authority and the Minister by Order published in the *Gazette* approves of the proposed acquisition for that purpose, that property shall be deemed to be required for a public purpose and may accordingly be acquired under the Land Acquisition Act (Chapter 460).

(2) Any sum payable, for the acquisition of any immovable property under the Land Acquisition Act (Chapter 460) for the Authority shall be paid out of the Fund of the Authority.

Annual Reports

68. (1) The Authority shall, within six months of the end of each financial year submit to the Minister an annual report on the activities carried out by the Authority. The following documents shall be attached to such report: -

- (a) the audited accounts of the Authority for the year along with the Auditor-General's report; and
- (b) a report of proposed activities for the year immediately following the year to which such report and accounts relate.

(2) The Minister shall within three months from the date of receipt of the annual report, table such report along with the documents specified in subsection (1) in Parliament for its consideration.

69. The Members of the Board and officers and employees of the Authority shall, before entering upon their duties, sign a declaration pledging themselves to observe strict secrecy respecting all matters connected with the working of the Authority and shall by such declaration pledge himself not to disclose any matter which may come to his knowledge in the discharge of his functions, except—

Declaration of
secrecy

- (a) when required to do so by a court of law; or
- (b) in order to comply with any of the provisions of the Right to Information Act, No. 12 of 2016.

70. No civil or criminal proceedings shall be instituted against any member, Director-General, officer, or servant of the Authority or any member of the staff, for any act which in good faith is done or purported to be done by him under this Act or on the directions of the Authority or the Board as the case may be if he proves that he acted in good faith and exercised all due diligence, reasonable care and skill.

Protection for
action taken under
this Act

71. (1) The Minister may give to the Authority in writing, general directions as to the exercise of the powers, performance of the duties and the discharge of functions of the Authority. It shall be the duty of the Authority to comply with such directions.

Directions of
the Minister

(2) The Minister may from time to time, in writing, direct the Authority to furnish to him in such form as he may require, returns, accounts and other information with respect to the property and activities of the Authority. It shall be the duty of the Authority to comply with such direction.

Delegation of
powers of the
Authority

72. The Board may delegate in writing the exercise or discharge of any power, duty or function vested in or assigned to the Authority to the Director General or to any officer or employee of the Authority or to any officer of any Government department or Public Corporation with the consent of such officer. The Board may notwithstanding any such delegation exercise, perform or discharge any such power, duty or function, so delegated.

Authority
deemed to be
a scheduled
institution
within the
meaning of
the Anti-
Corruption Act,
No. 9 of 2023

73. The Authority shall be deemed to be a scheduled institution within the meaning of the Anti-Corruption Act, No. 9 of 2023 and the provisions of that Act, shall be construed accordingly.

Members,
officers and
employees of the
authority
deemed to be
public servants

74. All members, officers and employees of the Authority shall be deemed to be public servants within the meaning and for the purposes of the Penal Code (Chapter 19).

Reimbursement
of expenses

75. (1) Any expense incurred by the Authority in any suit or prosecution brought by or against the Authority before any court, shall be paid out of the fund of the Authority, and any costs paid to, or recovered by the Authority in any such suit or prosecution shall be credited to the fund of the Authority.

(2) Any expense incurred by any person in any suit or prosecution brought against him before any court in respect of any act which is done or is purported to be done by him

under this Act or on the direction of the Authority shall if the court holds that such act is done in good faith, be paid out of the fund of the Authority unless such expense is recovered by him in such suit or prosecution.

76. (1) The Minister may make regulations in respect of any other matter which is required by this Act to be prescribed or in respect of which regulations are authorized or required to be made. Regulations

(2) Without prejudice to the generality of the powers conferred by subsection (1), regulations may be made in respect of any or all of the following matters: -

- (a) suitability of an applicant to engage in gambling;
- (b) fees to be charged for processing the application;
- (c) types of licenses;
- (d) class licence for lower-risk gambling services and conditions applicable to a class licensee;
- (e) criteria for the suitability of any place or premises to be a gambling venue and any ancillary building and for the services provided in connection with gambling;
- (f) restrictions on advertising gambling;
- (g) criteria for the use of gambling machines and other related matters; or
- (h) validity of gambling machines approval, conditions of gambling machines, restrictions on the transfer of gambling machines and corrective action needed for gambling machines.

(3) Every regulation made by the Minister shall be published in the *Gazette* and shall come into operation on the date of such publication or on such later date as may be specified in the regulation.

(4) Every regulation made by the Minister shall, within three months after its publication in the *Gazette*, be brought before Parliament for approval.

(5) Any such regulation that is not so approved shall be deemed to be rescinded as from the date of disapproval but without prejudice to anything duly done thereunder.

(6) Notification of the date on which a regulation is deemed to be rescinded shall be published in the *Gazette*.

Rules

77. (1) The Authority may make rules in respect of matters for which rules are authorized or required to be made under this Act.

(2) In particular and without prejudice to the generality of the powers conferred by subsection (1), the Authority may make rules in respect of the following matters:-

(a) for the regulation of procedure and the transaction of business at meetings; and

(b) providing for the custody and manner of affixing the seal of the Authority.

(3) Every rule made under subsection (1) shall be approved by the Minister.

(4) Every rule so approved shall be published in the *Gazette* and shall come into operation upon such publication.

78. (1) The Betting on Horse–Racing Ordinance (Chapter 44), Gaming Ordinance (Chapter 46) and the Casino Business (Regulation) Act, No. 17 of 2010 are hereby repealed.

Transitional
provisions and
savings

(2) Notwithstanding the repeal of the aforesaid Acts: -

- (a) all certificates of registration issued under the Betting on Horse – Racing Ordinance (Chapter 44) and in force on the day immediately preceding the appointed date shall, with effect from the appointed date, be deemed to have been issued under the provisions of this Act and shall be continued;
- (b) all regulations made under the Casino Business (Regulation) Act, No. 17 of 2010 and in force on the day immediately prior to the appointed date in so far as such regulations are not inconsistent with the provisions of this Act shall, with effect from the appointed date be deemed to be regulations made under this Act and such regulations may be amended, rescinded, or altered by regulations made under this Act;
- (c) all licences issued for the carrying on a business of a casino under the Casino Business (Regulation) Act, No. 17 of 2010 and in force on the day immediately preceding the appointed date shall, with effect from the appointed date be deemed to have been issued under the provisions of this Act and shall be continued;
- (d) all suits, actions and other legal proceedings instituted under the Casino Business (Regulation) Act, No. 17 of 2010 and the Gaming Ordinance (Chapter 46) and pending on the day immediately preceding the appointed date shall, with effect from the appointed date be deemed to be suits,

actions and other proceedings instituted by or against the Authority established by section 4 of this Act and may be continued and completed accordingly.

Interpretation

79. In this Act, unless the context otherwise requires—

“casino game” means a game of chance which is not equal chance;

“child” means a person who is under the age of eighteen years;

“digital gambling” means any form of gambling that is conducted, or is capable of being conducted, using electronic or digital means and includes interactive gaming, internet gambling, mobile gambling, social gambling, any other form of gambling that is conducted, or is capable of being conducted using electronic or digital means as the Minister may from time to time by Order published in the *Gazette*, specify under section 18;

“gambling” means betting, gaming, online gaming, casino, cruise ship casinos, junket operations, and includes digital gambling, the playing of baccarat, puntobanco, big six, black jack, boule, chemin - de - fer, chuck - a - luck, crown and anchor, faro, faro bank, hazard, poker dice, pontoon, American french roulette, trente - et - quarntc, vingt - et - um, or wheel of fortune or gambling for charitable or philanthropic purposes or any other game which the Minister may from time to time by Order published in the *Gazette*, specify under section 19;

“gambling premises” means any premises to which individuals have access with or without payment, whether as of right or not, for the playing of any gambling including the territorial waters of Sri Lanka;

“junket” means entering Sri Lanka for a limited period of time with the primary purpose of gambling in a casino where-

- (a) the arrangements are made, at least in part, by a junket organiser; and
- (b) all, or a substantial part, of the costs of transportation, food, and accommodation for the person entering Sri Lanka is paid by or on behalf of the holder of a casino licence;

“junket agreement” means a contractual agreement between a gambling operator and a junket operator outlining the terms and conditions of the partnership;

“junket operator” means a person or an entity who arranges for or facilitates the transportation, accommodation and entertainment of gamblers;

“Minister” means the Minister appointed under Article 43 or Article 44 of the Constitution to whom the subject of Finance is assigned;

“social gambling” means non-remote gambling which –

- (a) is conducted by an individual in premises that are either the individual’s home or another individual’s home in Sri Lanka;

- (b) has as participants only individuals who are members of the same family or who know each other personally;
- (c) is substantially spontaneous, even though it may occur regularly, habitually or by arrangement between the individuals involved;
- (d) is not promoted or conducted-
 - (i) by or for the private gain of any person not participating in the gambling; or
 - (ii) in the course of any business; and
- (e) is conducted so that the only way a participant in the gambling can make a profit or gain any other benefit as a result of the gambling is by winning;

and includes private or non-commercial gambling;

“unlawful activity” means any act which constitutes an offence under the provisions of this Act.

Sinhala text to prevail in case of inconsistency

80. In the event of any inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

